

Costco Q1 2026 Earnings

Blind Sentiment & Directional Score: Earnings call Q&A only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Earnings call Q&A only** as the **ONLY** report content. The other sections (the reported financial results, forward guidance) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Costco Wholesale Corporation (COST)
Report	Fiscal Q1 2026
Release date	Thursday 11 December 2025, after close
Earnings call	5:00pm ET
Source	Motley Fool transcript
Read mode	cold; earnings call Q&A extracts only, no reported results, no guidance, no price chart
Time to produce	41 minutes

Source material (read ONLY this)

Earnings call Q&A extracts (assigned source: Q&A only)

1. "Traffic was up 24% during the quarter on the website, and it was up even higher than that in the 40% plus range on the app" (Gary Millerchip, CFO).
2. "We may still see a slight decline in the overall renewal rate over the next few quarters" (Gary Millerchip, CFO).
3. "We've seen a really nice uptick executive upgrades to your point" (Gary Millerchip, CFO).

4. *"This was perhaps the first quarter where we've seen health care costs grow at faster pace than our sales"* (Gary Millerchip, CFO).
5. *"Our average sales have been around that six and a half percent growth... very consistent pattern"* (Gary Millerchip, CFO).
6. *"Model's obviously resonated, and 5%, you know, this quarter is still very good. But it has slowed"* (Edward Kelly, Wells Fargo).

Your scoring: fill in below, then seal

1 Sentiment score

Score: +0.05

Rationale. Digital engagement is excellent and executive upgrades are rising, but renewal rates may slip, healthcare costs are outgrowing sales, and traffic growth has slowed.

2 Directional signal

Signal: HOLD

Rationale. Positives and negatives are closely matched and none is large enough to break the band. HOLD.

3 Structured summary

- **What the source shows.** Digital traffic growth and executive-tier upgrades are the strong points.
- **What the source cannot show.** No financials, so cannot see how the healthcare cost comment flows through to margin.
- **Expectations bar.** Consistent mid-single-digit comps are exactly what the market already expects.
- **Conviction.** Low conviction by construction: the exchanges genuinely offset.

4 Evidence quotes

1. *"Traffic was up 24% during the quarter on the website, and it was up even higher than that in the 40% plus range on the app"* (Gary Millerchip, CFO).
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— SEALED —

Overnight move and call verification

COST close, 11 December 2025 (release day)	\$884.48
COST open, 12 December 2025	\$883.30
Overnight move	−0.13%

Call verification

- HOLD band test: $|-0.13\%| < 2.00\%$, inside the band, so HOLD territory.
- Sign test: The move is inside the band, so the correct directional call is **HOLD**.
- Score given vs. correct call: signal was **HOLD**, correct call **HOLD**, so **CORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	− 0.13%
D+1 close	−0.00%
D+3 close	−2.72%
D+5 close	−3.04%
D+10 close	−1.26%
D+20 close	+6.63%